DECEMBER 2024

ADC India Communications Ltd.

A Research Report

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ADC India Communications Ltd.

(BOM: 523411)

Telecom Equipment

SELL

CMP (Rs): **1890** Fair Price (Rs): **893** **DECEMBER 06, 2024**

Glimpse

ADC India Communications, founded in 1988 and now majority-owned by CommScope, provides cost-effective copper and fiber connectivity solutions for telecom and data networking.

In FY24, the company saw strong growth, with its IT Networking segment growing 9.6% and Telecom segment increasing 747%. Despite challenges like supply chain disruptions and rising commodity prices, ADC India maintains operational efficiency and benefits from growth in the telecom sector, driven by 5G rollout and government initiatives like the PLI scheme.

However, risks include high customer concentration, commodity price fluctuations, and foreign exchange exposure. The stock appears overvalued, driven more by market sentiment than fundamentals. This report analyzes ADC India's financial performance, growth potential, and market risks, offering insights into its investment outlook.

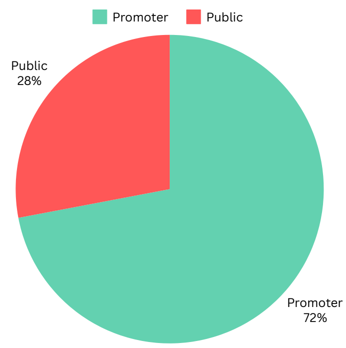
Forecasts / Valuations	2025E	2026E	2027E
Sales (Cr) (Rs)	205.6	236.4	271.8
Net Profit (Cr) (Rs)	19.2	22.1	25.4
EPS (Rs)	41.7	48	55.2
P/E (x)	15.6	13.6	11.8
ROE (%)	23.9	24.1	24.3

Source: Company Data, Own Estimates

COMPANY DATA AND VALUATION

Stock Data	
CMP (Rs)	1890
52-week (Rs) (H-L)	2309 - 810
Mcap (Cr) (Rs)	869
Face Value (Rs)	10

Shareholding Pattern (%)



Price Performance (%)	1M	6M	12M
Absolute	5	31	100
Rel. to Nifty 50	4	22	82
Rel. to Nifty Microcap 250	2	6	56

Source: NSE, BSE

Price in this report are based on the market close of December 06,2024

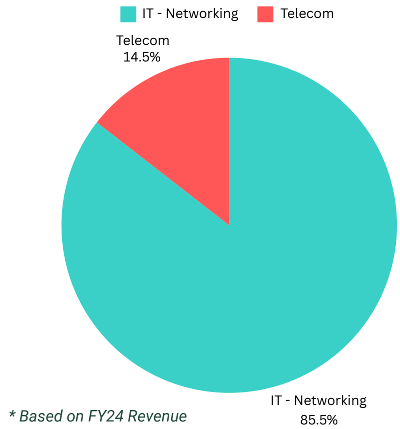
ADC INDIA COMMUNICATONS

Journey So Far

Founded in 1988 as Krone Communications through a joint venture between Krone Germany and Karnataka State Electronics Development Corporation, ADC India Communications has evolved significantly through a series of mergers and acquisitions. Today, it is majority-owned by CommScope Connectivity LLC (67.49%) and CommScope Technologies LLC (4.54%), collectively holding 72% of the company, with both entities ultimately under the ownership of CommScope Holding Company Inc.

What Does ADC India Communications Do?

ADC India provides cost-effective copper and fiber connectivity solutions for telecom and data networking, including structured cabling for enterprises and telecom providers. Despite challenges like supply chain disruptions and rising costs, the company has achieved strong growth and remains optimistic about opportunities in data centers and broadband. By adapting to market changes, streamlining costs, and innovating products, ADC India continues to strengthen its position.



** Based on FY24 Revenue*

ADC India's business is divided into two segments, IT Networking and Telecom, which delivered ₹152.87 crore and ₹25.86 crore, respectively, to the total revenue in FY24, growing at 9.6% and 747%, respectively. The growth in IT Networking was driven by exports to companies within the CommScope global network, notably **CommScope EMEA Ltd.** and **CommScope Japan K.K.**

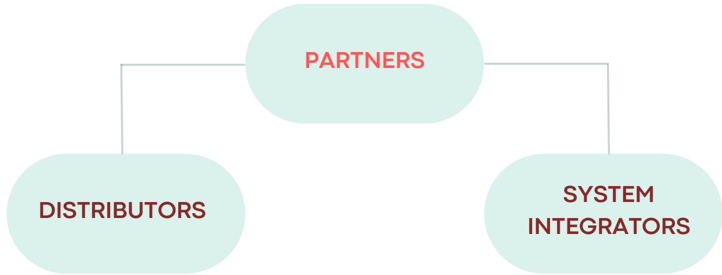
These segments further comprise three solution offerings that function like a powerful trident, driving their competitive edge in the market.

Three Solution Offering

Solution Offering	
Enterprise	Data Center Solution (Fiber and Copper)
Carrier Network Solution	Broadband, Office Connections, FTTX, OSP
Wireless Service	Equipment's for Telecom Service Providers

Source: Company Annual Reports

Product Selling Channels



Notable **national distributors** include Redington India Ltd. and Compuage Infocom Ltd., while **regional distributors** such as Grammy Communications Pvt Ltd, Digital Hi-Ways pvt. ltd., and Fouress Networks Solutions serve regional markets.

The second category consists of System Integrators, who exclusively use ADC products to deliver tailored solutions to clients. These integrators benefit from leveraging ADC's strong brand reputation, gaining access to joint promotional activities, campaigns, and other marketing support to attract new clients. Currently, ADC has around **26 solution providers** across the country, forming a key part of its sales and market

Sources of Revenue for ADC India

Product (Cr) (Rs)	FY2022	FY2023	FY2024
Cables - Fiber and Copper	73.4	85.8	99.0
Connectors and Patch Cords	28.9	35.3	35.9
Telecom Products, accessories	3.6	4.8	24.5
Others	12.8	16.9	19.33

Geography (Cr) (Rs)	FY2022	FY2023	FY2024
From India	117.9	140.9	151.2
From Outside	1	1.9	27.4

Source: Company Annual Reports

The customer base of ADC India Communications is primarily composed of related parties and domestic partners. Approximately 14% of the revenue comes from related parties, with the largest contribution from CommScope Japan K.K., which accounts for 7%. The remaining 86% of revenue is generated through domestic partnerships, primarily with distributors and integrators. Notably, the top two customers contribute to around 85% of the total domestic revenue, which is likely to be the national distributors.

FY2024 Performance

In FY2024, the company saw a significant improvement in its financial performance compared to FY2023 and the five-year average. Operating revenue rose by 25%, reaching ₹178.7 crore, up from ₹142.9 crore in FY2023. This growth was accompanied by an increase in material costs, in line with higher revenue. Operating profit surged to ₹26 crore, a notable jump from ₹10.2 crore in FY2023, driven by stronger sales and improved operational efficiency. EBITDA also improved significantly, reaching ₹28 crore from ₹11.3 crore in the previous year. PBT rose sharply from ₹11.0 crore in FY2023 to ₹27.7 crore, indicating increased profitability. PAT grew substantially from ₹8.2 crore to ₹20.7 crore. Overall, FY2024 stands out as a year of robust financial performance, with stronger-than-average revenue, profit, and margins compared to the previous years.

Amount in (Cr) (Rs)	FY2020	FY2021	FY2022	FY2023	FY2024
Operating Revenue	**78.1**	**59.8**	**118.9**	**142.9**	**178.7**
Material	64.6	46.4	98.8	113.9	132.9
Employee	3.6	3.6	4.0	4.2	4.2
Other Expences	5.3	4.9	5.4	14.4	15.5
Operating Profit	**4.4**	**4.8**	**10.6**	**10.2**	**26.0**
Other Income	1.3	0.9	1.1	1	1.9
EBITDA	5.8	5.7	11.7	11.3	28
Depreciation	0.9	0.5	0.3	0.2	0.2
PBT	**4.8**	**5.2**	**11.4**	**11.0**	**27.7**
TAX	1.4	1.6	2.8	8.5	7
PAT	**3.4**	**3.6**	**8.5**	**8.2**	**20.7**

Source: Company Financial Reports

Risk Assessment

Customer concentration remains a concern, as a significant portion of revenue is derived from a small group of customers, with the top two customers contributing approximately 70% in FY24 to the top line. This concentration could make the company vulnerable if there is any loss or reduction in business from these customers.

Commodity price fluctuations, particularly in copper, have impacted the company's cost structure. Copper prices have risen sharply from USD 6,000 per tonne in 2020 to USD 8,900 per tonne in 2024, representing a 48.33% increase, according to data from LME. Additionally, prices of other materials like glass and plastic have also risen. Despite this, the company has managed to keep its raw material costs efficiently controlled, with a cost-to-revenue ratio averaging 80% over the past six years and currently standing at a lower 74%.

This success can be attributed to several factors, including **operational efficiency**, **pricing power**, **operating leverage**, and **value engineering**. For instance, the introduction of a new fiber design, along with improvements in fiber cables, armored fiber cords, wire mesh, and basket systems, has all contributed to cost management. Additionally, the company benefits from a **two-tier distribution** system, which helps optimize costs.

Decreased enterprise network copper business, which is primarily used for office network solutions, has been noted due to slower office additions. However, the market is expected to pick up, as demand for Grade A office space, driven by GCC, is projected to grow by nearly 40% between 2025 and 2027, according to Office Services.

Finally, the company faces **foreign exchange risk** due to its import and export activities. However, this risk is actively managed through hedging strategies to mitigate any potential adverse impacts from currency fluctuations.

Telecom Equipment Industry: Where Does It Stand and Where Will It Go?

The Indian telecom equipment market, valued at USD 18.48 billion in FY2023, is projected to reach USD 41.77 billion by FY2031, growing at a CAGR of 10.41%. This growth is fueled by increasing smartphone usage, rising mobile subscriptions, and the demand for 5G services. India, with a subscriber base of 1.24 billion in 2024, is also benefiting from government initiatives like the Bharat Net project and the PLI scheme, aimed at boosting domestic manufacturing. The market's expansion is further supported by the integration of telecom and networking equipment, which requires expertise in both hardware and software.

5G Demand

5G has the potential to transform India's socioeconomic landscape and drive overall societal development. The rollout of Pan-India FWA (Fixed Wireless Access) services could be a game-changer, especially in rural areas. 5G is expected to create new avenues for economic growth by providing high-speed internet access to various sectors, including healthcare, insurance, banking, and telecom.

Government Support

The Indian government has introduced several initiatives to boost the telecom equipment market, including the BharatNet project, M-SIPS, NDCP 2018, and the PLI scheme. The PLI scheme offers financial incentives to domestic and international manufacturers for increasing telecom equipment production in India, with rewards ranging from 4% to 7% on incremental sales over five years.

Smartphones User Base

The Indian telecom equipment market has grown significantly, fueled by over a billion mobile phone users and increasing internet penetration. This has led to higher demand for network infrastructure, antennas, and other components to support the expanding smartphone user base.

What does it mean for ADC India Communications?

According to Horizon Grand View Research, the fiber optic market is expected to grow from $748.5 million to $1.5 billion from 2023 to 2030, at a CAGR of 10.50%. With the overall telecom equipment market projected to grow at a rate of 10.41% (Markets and Data) from FY23 to FY31, the company generates approximately 14% of its revenue from the telecom sector, and this growth would benefit the company. In terms of IT networking, the data center market is forecast to grow from $1.16 billion to $2.18 billion from 2018 to 2029, with a CAGR of 17.02% (Mordor Intelligence). The company stands to benefit significantly from this growth, as IT networking constitutes the majority of its revenue.

The company also benefits from government projects, particularly as the demand for telecom equipment, especially fiber optics and tools, is driven by these initiatives. Regarding the PLI scheme, CommScope India Private Limited, a fellow subsidiary, has received incentives under the program. Since the company deals with CommScope India Private Limited, it stands to benefit from a waterfall effect, with more business opportunities likely to come its way as a result of these incentives.

Peer Identification and Comparison

Companies	CMP (Rs)	Sales (Cr) (Rs)	Mcap (Cr) (Rs)	OPM %	ROE (5year) (%)	EV / EBITDA	Current Ratio	P/E	P/B
Tejas Networks	1355.0	6260.9	23202.4	17.0	-2.6	23.3	1.4	51.0	6.2
Frog Cellsat	335.1	168.93	518.81	11.03	14.87	21.32	2.04	33.51	3.7
Valiant Communication	554.3	51.96	422.82	27.87	2.32	25.32	11.02	43.19	7.3
Precision Electronics	151.9	48.49	210.38	4.6	-0.69	92.56	1.44	-	17.65
Sterlite	123.22	5093	6007.76	7.3	8.49	19.75	1.06	-	2.05
Birla Cable	229.53	684.32	688.32	4.97	8.53	21.65	2.2	95.2	2.62
ADC India	**1890.0**	**185.6**	**869.4**	**19.4**	**18.6**	**21.0**	**3.7**	**30.0**	**12.0**
Median				**13.2**	**7.1**	**32.1**	**3.3**	**50.6**	**7.4**
Industry								**43.19**	

Source: Screener

Peer identification has been conducted based on relative ratios rather than absolute numbers, as some companies in the group have significantly larger sales and market capitalizations, which could skew comparisons. The identification process also considers factors such as business model, geographic market, risk profile, and regulatory environment.

Peer Comparisons

ADC India outperforms its peers on several key metrics, reflecting its strong financial position and operational efficiency. Its Operating Margin (OPM) of 19.4% surpasses the peer median of 13.2%, driven by operational efficiency and synergies from the CommScope group.

The company also has a five-year average Return on Equity (ROE) of 18.6%, significantly higher than the peer median of 7.1%, showcasing superior profitability and effective resource utilization. ADC India's EV/EBITDA ratio of 21 is lower than the peer median of 32.

Additionally, its current ratio of 3.7 reflects better liquidity management, supported by efficient working capital practices. While its P/E ratio is below both the peer median and industry average, this is influenced by data limitations for some companies with negative earnings. Lastly, the company’s P/B ratio is above the peer average, highlighting investor confidence and higher growth expectations.

Valuation Assumptions

The valuation methodology employed is the Discounted Cash Flow (DCF) model, with the Weighted Average Cost of Capital (WACC) calculated using the Capital Asset Pricing Model (CAPM). For the terminal growth and terminal value calculations, the Gordon Growth Model has been applied. Forecasts are primarily driven by revenue growth projections, while key factors such as EBITDA margins, tax rates, changes in working capital, and capital expenditures are based on six-year historical averages.

Rationale Behind DCF Assumptions

The growth assumptions for revenue are derived from a combination of insights from various research reports, the historical average performance of the business over the past six years, and weighted projections across the company's various business segments. Revenue growth is forecasted for the next five years, up to FY2029. These reports and analyses have been discussed in detail earlier in this document.

The Weighted Average Cost of Capital (WACC) is derived by calculating the weighted average of the company's debt and equity. Since the company is debt-free, one piece of the puzzle is already solved. For the cost of equity, the Capital Asset Pricing Model (CAPM) is employed.

The CAPM model consists of three key components: the risk-free rate, beta, and the equity risk premium. The risk-free rate is derived from the 10-year Government Securities (G-sec) yield. For beta, a regression analysis was conducted between the last five years of the stock price on the BSE and the Sensex Small Cap 250 index, as it closely matches the company's characteristics. Although the Nifty Microcap index was available, it was relatively newer, so the BSE Small Cap index was preferred.

The equity risk premium was set at 8%, above the risk-free rate, after thorough consideration. The rationale behind this is that small and microcap stocks in India historically generate long-term returns of around 15%, which may appear lower, but the cyclical nature of their performance and perceived risk explains this figure. Over the last five years, the Compound Annual Growth Rate (CAGR) of small and midcaps has been approximately 40%, driven by the bull cycle. As Benjamin Graham described, while the market may act as a voting machine in the short term, it functions as a weighing machine in the long run.

After completing the calculations, the WACC for the company stands at around 14%, which is deemed reasonable given its risk profile.
For terminal growth, a rate of 9% was assumed, slightly lower than the nominal GDP growth rate, reflecting a conservative yet realistic expectation for long-term company performance.

DCF Valuation

	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	Terminal Value	**Assumptions**	
Sales	205.6	236.4	271.8	312.6	359.5		**Sales Growth Rate**	12.9%
EBITDA Margin	12.9%	12.9%	12.9%	12.9%	12.9%		**WACC**	14.0%
EBITDA	**26.5**	**30.5**	**35.1**	**40.3**	**46.4**		**TGR**	9.0%
Less: Tax	7.3	8.4	9.6	11.1	12.8			
Cash Profit	**19.2**	**22.1**	**25.4**	**29.2**	**33.6**		**DCF Value**	
Less: Δ Working Cap	2.5	2.5	2.5	2.5	2.5		**Fair Value (Mcap)**	411.2
Less: Capex	1	1	1	1	1		**Outstanding Shares (Cr)**	0.46
Net Cashflow	**15.7**	**18.6**	**21.9**	**25.7**	**30.1**	**651.5**	**Price per Share**	**893.9**
Discounted Cashflow	**13.8**	**14.3**	**14.7**	**15.2**	**15.7**	**337.5**		

Source: Own Research

Fair Value 893 Rs

Conclusion

After analyzing the business and its major growth drivers, the valuation derived suggests that the stock may be overvalued in the market. Possible reasons for this discrepancy could include market overestimation of revenue growth projections and optimistic expectations regarding the industry's growth until the terminal stage.

While the business is in a growth phase, the sentiment in the microcap segment has led to the stock being valued higher than its fundamental worth. The telecom equipment market itself holds promising potential, but one must be cautious when investing in this company at present. The stock's current valuation seems to be driven more by market sentiment rather than reflecting a sound future outlook based on the company's fundamentals.

In conclusion, while the telecom equipment market remains strong, and the company has a solid position, caution is advised before investing, as the stock's price may not align with its intrinsic value. The company's future performance will need to be closely monitored, especially considering its reliance on future growth assumptions and its current overvaluation.